

DIGITAL ORGANIZING AND TRANSFORMATION

KBDIORT1KU



IDEAS¹

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Table of Contents

1.0 Introduction.....	2
2.0 Case description.....	3
3.0 Theory.....	3
3.1 Dynamic Capabilities.....	3
3.2 Building Blocks of Digital Transformation.....	4
3.3 Platforms and Ecosystems.....	5
4.0 Analysis.....	6
4.1 LEGO Ideas in the Building Blocks.....	6
4.1.1 Sensing the Disruptions of Social Platform Technology.....	6
4.1.2 Seizing the Opportunity through Partnerships and Consumer Involvement.....	7
4.1.3 Transforming the Organization and Barriers to Change.....	8
4.1.4 Negative and Positive Impacts Following the LEGO Group's Transformation....	9
4.2 Balancing Capabilities for Co-Creation and Value Capture.....	11
4.2.1 Ecosystem Orchestration: Dynamic Governance of the Community.....	11
4.2.2 Platform Evangelism: Aligning Vision and Brand Identity.....	12
4.2.3 Platform Co-selling: Integrating Market Validation and Sales.....	13
5.0 Discussion.....	14
5.1 Wessel versus Vial: Reframing Transformation through Digital Maturity.....	14
5.2 A Platformization of Outsourced Work?.....	16
5.3 Limitations of the Case.....	17
6.0 Conclusion.....	17
7.0 References.....	18

1.0 Introduction

The utilization of digital and IT tools has become central to contemporary organizations operating in an increasingly connected environment. This has sparked theoretical discussions on the different approaches to digital transformation (DT). Wessel et al. (2020) contribute with a distinction between IT-enabled Organizational Transformation (ITOT), which is the implementation of digital tools to support and enhance existing value propositions, and DT, which is an implementation of digital tools that completely reshapes the value propositions and organizational identity of the company (Wessel et al., 2020). However, in the case of multinational companies like the LEGO Group (TLG), it might be more fitting to look at DT as a more dynamic evolution. Vial (2019) argues that DT is a form of survival mechanism triggered by external use of digital technologies, such as *platforms* and *ecosystems*, which companies must respond to and implement into their business model in order to capture new opportunities and mitigate the risks. Though DT is studied continuously, more research is needed. Specifically, Vial (2019) calls for more research into the dynamic capabilities of firms to design mechanisms such as *sensing*, *seizing* and *transforming* that enable repeatable, continuous adaptation of DT. Vial (2019) wonders how organizational actors enabled by digital technologies design dynamic problem-solving processes that are efficient but also repeatable across waves of digital innovations.

This paper investigates TLG's approach to DT as a continuous transformation enabled by dynamic capabilities. Furthermore, we look at how TLG utilizes LEGO Ideas as a platform for gathering data and capturing value from their fan communities, to integrate their fans into the continued innovation of LEGO. Through this paper, we will demonstrate how multinational companies can utilize platforms and ecosystems for improving their dynamic capabilities. We intend to answer the following research question:

“How does the LEGO Group utilize platforms like LEGO Ideas to develop dynamic capabilities for sensing, seizing, and transforming for continuous digital transformation?”

2.0 Case description

TLG is one of Denmark's largest and most renowned companies, founded in 1932 and known for its iconic plastic bricks that, however simple they might appear, can be put together in ways that are only limited by imagination. Even though TLG still sells the same bricks they have sold since 1949, when they made the innovative shift from wood to plastic (Entering the Age of Plastics, n.d.), a lot has changed. According to the former CEO, Jørgen Vig Knudstorp, TLG has become as much an IT-driven company as it is a brand-driven company (Andersen & Ross, 2016). Since SAP was implemented in the early 2000s, TLG has steadily increased its integration of digital technologies into its operations and business model, with initiatives spanning from the digitization of all its bricks to the production of films and video games.

In the years leading up to 2008, TLG realized that fans started organizing themselves on social media and online forums, wherefrom they wanted to engage with TLG. Therefore, in 2008, TLG went on to partner with an already established crowdsourcing platform, Cuusoo, enabling fans to share and vote on custom creations, where the software 'BrickLink Studio' enabled fans to design their own LEGO sets (Antorini & Muñoz, 2013; *Rules Guidelines | LEGO® Ideas*, n.d.). Users can vote on designs, and if a design reaches 10,000 votes, TLG will review it and possibly put it into production. While this started as an experiment only available in Japan, it proved successful and expanded globally, with TLG eventually bringing it in-house, renaming it LEGO Ideas (LEGO® Ideas, n.d.). By 2019, LEGO Ideas had more than 2.8 million users sharing and discussing more than 135.000 designs (Beretta et al., 2023).

3.0 Theory

3.1 Dynamic Capabilities

To examine TLG's approach to DT, we apply the theoretical lens of *dynamic capabilities*, a framework originally developed by Teece (2007) and elaborated on by Vial (2019). This strategic management framework is used to explain how companies gain or maintain a competitive advantage (Vial, 2019) in a turbulent, globally competitive environment by continuously *sensing* opportunities and threats, *seizing* promising options, and *transforming*

over time (Teece, 2007). There are different definitions of what dynamic capabilities entail, and the framework by Teece has been refined since it was first introduced. In this paper, we therefore follow the definition proposed by Vial (2019), which synthesizes Teece's (2007) original formulation for the context of DT. Vial (2019, p. 133) describes *dynamic capabilities* as:

“Dynamic capabilities enable firms to innovate and adapt to changes in their environment through three main mechanisms (Teece, 2007): sensing, i.e., the “identification, development, codevelopment, and assessment of technological opportunities in relationship to customer needs” (p. 332); seizing, i.e., the “mobilization of resources to address needs and opportunities, and to capture value from doing so” (p. 332); and transforming, that is, the “continued renewal” (p. 332) of the firm as its resources are reconfigured to strategically seize opportunities and respond to threats.”

3.2 Building Blocks of Digital Transformation

Vial (2019, p. 121) defines DT as “a process that aims to improve an entity by triggering significant changes to its properties through combinations of information, computing, communication, and connectivity technologies” and places this process into eight fittingly named *building blocks*.

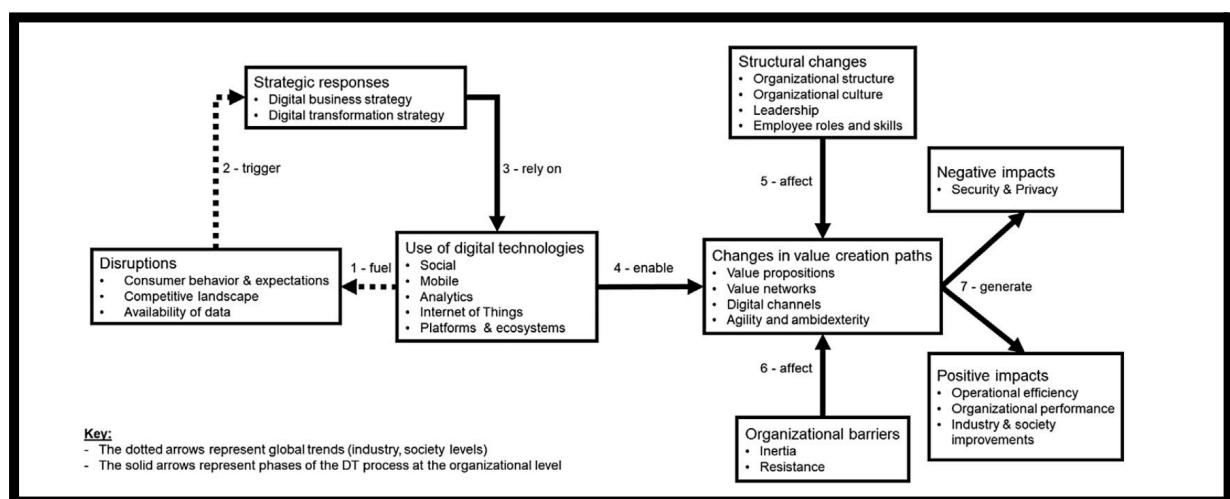


Figure 01: Vial's building blocks

For our case, Vial's (2019) *building blocks* provide a structured way to analyze TLG's approach to DT. By highlighting the LEGO Ideas crowdsourcing initiative within each block,

we can trace how LEGO Ideas exemplifies DT for TLG concretely and how its value creation logic has been reconfigured around user co-creation.

3.3 Platforms and Ecosystems

Managing a platform ecosystem such as LEGO Ideas requires balancing value co-creation with value capture. Schreieck et al. (2021) propose a framework that identifies the capabilities needed to sustain digital platform ecosystems and maintain this balance. Schreieck et al. (2021) distinguish between *technology-related capabilities*, which establish the digital infrastructure for participation, and *relationship-driven capabilities*, which focus on engagement, incentives, and commercialization. Because LEGO Ideas is driven by community participation and co-created content, this paper concentrates on the three *relationship-driven capabilities*:

Ecosystem orchestration refers to the platform owner's ability to enable and manage high-quality contributions from third parties (Schreieck et al., 2021). It includes establishing appropriate governance, ensuring quality control, and offering tailored boundary resources that support contributors. Strong orchestration is essential for fostering co-creation and keeping participants connected to the platform.

Platform evangelism, defined as the ability to create and communicate a shared vision, acts as a driver of platform growth. A collective vision strengthens network effects, enhances brand value, and encourages collaborative behaviour within the community (Schreieck et al., 2021).

Platform co-selling concerns the platform's ability to commercialize co-created content by leveraging existing sales channels in collaboration with ecosystem partners. This capability aligns incentives between the platform owner and contributors and supports the commercial sustainability of the ecosystem (Schreieck et al., 2021).

4.0 Analysis

4.1 LEGO Ideas in the Building Blocks

To understand how TLG approaches DT through a dynamic capabilities perspective, we analyze the *sensing, seizing, and transforming* occurring around the development and implementation of the LEGO Ideas platform. By investigating a concrete example of DT, we aim to uncover strategic and top-level approaches to DT in TLG. However, we also recognize that TLG is an organization with a highly diversified product and service portfolio maintained by various departments and partners in the organizational ecosystem, so our findings may not be universal throughout all of TLG.

4.1.1 *Sensing* the Disruptions of Social Platform Technology

According to Vial (2019), DT is triggered by disruptions in society fueled by emerging digital technologies following the *SMACIT* framework (*Social, Mobile, Analytics, Cloud, Internet of Things*) with the addition of *platforms* and *ecosystems* (Vial, 2019).

In the case of LEGO Ideas, disruptions were happening from the emergence of social media and the internet, which enabled big online communities of LEGO consumers to actively engage with each other and share their thoughts and LEGO creations (Andersen & Ross, 2016). These technologies are a mix of *social, mobile, analytics, and platforms and ecosystems*, since they allow users to interconnect, while also enabling companies to harvest large amounts of data on their consumers.

Thereby, the emergence of social platforms caused disruptions in two ways: *availability of data* and *alteration in consumer behaviour* (Vial, 2019). According to former CEO, Jørgen Vig Knudstorp, in Andersen & Ross (2016, p. 9), LEGO consumers started engaging much more with each other and demanded an increased closeness and engagement from the brand itself:

“Consumers want to engage, they want to have a dialogue, they want to talk to each other, and they want to talk to the brand and the company. That has always been a strength of the brand, but that strength has been so much increased on the back of the digital technology”.

According to Vial (2019), these disruptions leave opportunities and threats that the company must make strategic responses to. However, we argue that in order for TLG to make a strategic response, it must have had the *dynamic capabilities* for *sensing* the existence of these opportunities and threats.

According to Teece (2007), *sensing* relies on the constant scan, search, and exploration of markets and technologies through learning mechanisms and the diversified knowledge of actors within the company. This means that TLG must be open to, and actively pursue, input from the outside world. In TLG’s case, as suggested by the previous quote, some of TLG’s *sensing* capabilities might have derived from an eager fanbase that actively fed insights on customer needs to the company.

4.1.2 Seizing the Opportunity through Partnerships and Consumer Involvement

Having sensed the opportunity for increasing available customer data and engagement, TLG decided to *seize* the opportunity by implementing strategies and allocating resources to fully embrace the new fan communities living on social media. Thereby also adopting the use of those technologies (Vial, 2019). According to Andersen & Ross (2016), in the late 2000s, TLG began actively creating and managing fan communities in which they would promote their fans by sharing their content and creations.

The *seizing* and adoption of social platforms like LEGO Ideas enabled several *new paths of value creation*, with the biggest one being in the category of *agility and ambidexterity* (Vial, 2019). Having close proximity and large amounts of data on consumers allowed TLG to effectively *sense* and *seize* those opportunities at a faster pace and lower risk. This was because users carried out research and development, and the voting and liking mechanisms gave a solid indicator of market demand. This claim is supported by Senior Director Erik Hansen at TLG:

“You don't have to do all the market research. It's all done for you. The consumers are also doing the models and we just have to brush it up a bit and then put it on the shelves—because we can do the math. We know based on how many people online sign up for these things, what size the market is more or less” (Andersen & Ross, 2016, p. 8).

Furthermore, the adoption of social platform technologies like LEGO Ideas allows for a change in the *value network* with the customer shifting from a *consumer* to a *prosumer* relation (Vial, 2019), meaning that consumers get the ability to co-create value and get recognition and economic incentive if their creation goes to market. Lastly, it creates *customer-facing channels* (Vial, 2019), allowing TLG to reach and expand its fan base through community engagement while at the same time giving TLG the power to carefully moderate those channels, allowing them to protect and control their brand.

4.1.3 Transforming the Organization and Barriers to Change

Making changes in paths of value creation based on a redefined business model entails that TLG must align its resources and make structural changes to more effectively *seize* opportunities – i.e., *transform* (Vial, 2019).

In 2019, TLG hired its first Chief Digital Officer (CDO), Jean-Jacques Van Oosten (Experience | Jean-Jacques Van Oosten | LinkedIn, n.d.), signaling to the rest of the organization that it had made digital technology a strategic priority (Vial, 2019). Singh & Hess (2017), as cited in Vial (2019), note that the CDO role can be considered temporary, disappearing once digital capabilities become embedded in the organization and responsibility spreads. This aligns well with TLG, as shortly following the acquisition of the reselling platform, Bricklink, Van Oosten left the company (Experience | Jean-Jacques Van Oosten | LinkedIn, n.d.). He was, however, replaced by Atul Bhardwaj as Chief Digital & Technology Officer (CDTO), which combines the responsibilities of digital with the more traditional Chief Technology Officer role. Under the new CDTO, TLG in 2020 tripled the size of its digital organization, and in 2022 opened a new Digital Technology office in Copenhagen as well as in London and Shanghai (Building for a Hybrid Future Brick by Brick

| Deloitte Denmark, 2025). According to Vial (2019), DT requires structural reconfiguration, and the establishment of a dedicated Digital Technology unit emphasizes a large effort to introduce agile teams and accelerate experimentation in TLG. The effort focuses on meeting future business demands by developing internal digital expertise and modernising the organisation's technological foundation and platforms (Building for a Hybrid Future Brick by Brick | Deloitte Denmark, 2025), including LEGO Ideas. Chief Financial Officer Jesper Andersen describes how a required transition to a newer version of the ERP system SAP would previously be viewed simply as a technical upgrade is now considered strategic:

“We now regard the transition to SAP S/4HANA as a business opportunity. When a product is no longer just a physical LEGO brick but can be complemented by gaming, interactive play and online experiences, our product development process needs to work closely with our ERP system,” (Building for a Hybrid Future Brick by Brick | Deloitte Denmark, 2025, para. 12).

Our data offers only limited insight into the organizational barriers, resistance, or inertia that arose when TLG decided to integrate user collaboration. However, it is well documented that the company ended up in a financial crisis in the early 2000s because of its diversified product line, paying too little attention to the costs in its supply chain (Andersen & Ross, 2016). It is reasonable to assume that these past experiences influenced how the LEGO Ideas platform was shaped and that it may have created some internal resistance to giving users influence over the product portfolio, particularly as user creations typically are not developed with the intention to commercialize (Antorini & Muñoz, 2013). We see this risk mitigated by the fact that once selected for review, a design enters TLG's standard approval process, ensuring that the final creation complies with established quality, design, and production standards (Rules Guidelines | LEGO® Ideas, n.d.).

4.1.4 *Negative and Positive Impacts* Following the LEGO Group's Transformation

When enabling the creativity of external communities, TLG is exposed to risks regarding intellectual property (IP) and brand damage. They have to balance fairness, creating rules that are attractive both for the company and the users. Without proper management, the platform risks exposure to designs that challenge TLG's public image. For instance, fans created

building instructions for replica pistols, which conflicted with TLG's non-aggressive ethos. This illustrates the ongoing need for TLG to retain control over both user-generated content and IP (Hunter & Thomas, 2016).

The sheer volume of ideas on the platform creates an administrative load for screening, evaluation, and moderation. Additionally, as less than 1% of submissions are selected to be commercialized, most of the time spent on evaluation is on designs that will never reach production.

TLG's leverage of platform technology to *transform* LEGO Ideas into a co-creation ecosystem provides a range of positive impacts across market insights, brand equity, and product development.

One of the more evident effects is revealing market trends and demands. A clear example was an early LEGO Minecraft design submission that both revealed a market opportunity, established a new IP partnership, and opened a valuable channel to a community with a group of digital-native users that might otherwise have been difficult to attract (Andersen & Ross, 2016). This kind of cross-branding is highly beneficial for TLG and can be self-fuelling as users showcase their designs on social media platforms and online communities, creating a network effect with a wide reach. Beyond revealing trends, the platform allows TLG to tap into a global network of creative, skilled, and passionate adult fans who voluntarily create complex LEGO designs that may fall outside the scope of its internal design teams (Antorini & Muñiz, 2013).

By generating massive amounts of data on user interests and social signals, which, when combined with other LEGO customer data such as purchase history, can reveal insights into future trends and user behavior, LEGO Ideas can support a better understanding of customers for data-driven decision making (Beretta et al., 2023; Holland & Wise, 2023).

Communities can be difficult to manage, but letting them operate on their own terms or suppressing them entails major risks for the brand. By managing and governing the LEGO Ideas community, TLG not only keeps control of where fans share their designs, it can also guide and support users to create better contributions that align with the current strategy,

vision, and intellectual property. As they own the platform, TLG maintains full control over which ideas are shared on the platform and which become products in the end (Terms of Service | LEGO® Ideas, n.d.).

4.2 Balancing Capabilities for Co-Creation and Value Capture

This section combines the theoretical lens of *dynamic capabilities* (Vial, 2019; Teece, 2007) with the framework established by Schrieck et al. (2021). This integrated analysis explores how the LEGO Ideas platform enables and maintains a sustainable ecosystem by balancing *value co-creation* with *value capture*. The analysis focuses on the three important relationship-driven capabilities: *ecosystem orchestration*, *platform evangelism*, and *platform co-selling* (Schrieck et al. 2021).

4.2.1 *Ecosystem Orchestration*: Dynamic Governance of the Community

Ecosystem orchestration is the capability to set rules and provide the necessary resources to ensure the community delivers value, while the platform owner maintains control and quality. When viewed through the lens of *dynamic capabilities* (Vial, 2019), orchestration is not a static state but a continuous, repeatable mechanism of sensing, seizing, and transforming resources related to the fan community. The sustained popularity of LEGO Ideas indicates that TLG has successfully upheld a dynamic, creative community, balancing the necessity of corporate contributions with goals for *value capture*.

The orchestration process begins with *sensing*. TLG must continuously monitor the emotional responses and behaviors of its users to keep the platform attractive. This involves *sensing* how fans react to rejected ideas, a critical task, as users have been known to provide more negative feedback in the period immediately following a rejection (Beretta et al., 2023). To foster a positive mindset, TLG invests significant resources in engaging with users through comments, feedback, and interviews. However, this interaction requires sophisticated decision-making to avoid engaging only the most active users, risking overlooking quieter members who might be the best innovators (Antorini & Muñiz, 2013). Therefore, effective *sensing* involves screening users based on their actual value contribution rather than just their activity volume (Antorini & Muñiz, 2013).

Upon *sensing* these dynamics, TLG *seizes* control to shape how the community interacts and co-create on the platform. An example is the awareness that fans tend to have little concern for technical standards or profitability (Antorini & Muñiz, 2013), which is addressed by providing standardized boundary resources. By offering clear guidelines and free software like BrickLink Studio, LEGO Ideas facilitates easy onboarding and increases the chance of turning innovative ideas into marketable products (Rules Guidelines | LEGO® Ideas, n.d.; Studio Download [BrickLink], n.d.). Furthermore, TLG has *seized* the opportunity to guide creativity by introducing "Activities" and "Challenges." These events encourage users to create ideas within specific themes, allowing LEGO Ideas to proactively shape the data and creations shared on the platform (Activities | LEGO® Ideas, n.d.; Challenges | LEGO® Ideas, n.d.). This strategy, combined with gamification elements like achievements, fosters user retention and ensures user contributions remain relevant to the brand's portfolio.

The value captured by orchestration extends beyond the production of ideas; the platform generates immense amounts of data through user interactions (voting, commenting, sharing). By governing how users interact, TLG shapes this data generation, allowing it to transform trends into successful organizational partnerships, as seen with the LEGO Minecraft collaboration (LEGO Minecraft - Brick Fanatics - LEGO News, Reviews and Builds, n.d.).

4.2.2 Platform Evangelism: Aligning Vision and Brand Identity

Platform evangelism is the capability to communicate the brand's vision, values, and goals to motivate participation and reduce misalignment. For LEGO Ideas, this capability is essential not only for maintaining high-quality contributions but for preventing users from exploiting or damaging the brand.

TLG *senses* that the primary incentive for participation is not financial reward, but more likely passion towards the LEGO product (Antorini & Muñiz, 2013). Since only a small percentage of ideas reach production (Beretta et al., 2023), the community is driven by the joy of building and the desire to share their designs. Adult Fans of LEGO (AFOLs) are already deeply aligned with the creativity of the brand, creating a fertile ground for evangelism (Schlagwein & Bjorn-Andersen, 2014).

This enthusiasm is seized and fosters a strong shared identity. Through mechanisms like the "10K Club" (a club for designs with 10.000 votes) and various user achievements, LEGO Ideas fertilizes the community's passion, strengthening the brand from the outside in.

Seizing opportunities requires difficult decisions regarding brand control. E.g., in 2012, the "Shaun of the Dead" project received 10,000 votes but was rejected because it conflicted with TLG's family-friendly strategy (Antorini & Muñiz, 2013). TLG must navigate the trade-offs between *seizing* emerging trends that fall in grey areas and upholding brand values.

However, the brand values have transformed over the years, encapsulating a broader audience as seen with the full embracement of the AFOL movement. This *transforming* capability is necessary for maintaining the relationship with the user base. While strict control risks alienating users who might flee to other platforms, a strong, clear brand identity attracts users despite some creative limitations. By maintaining control over the main platform where ideas are generated, TLG ensures that content remains true to its vision. If left to an open, unmoderated community, content could quickly spiral out of control, associating the LEGO brand with harmful themes. Thus, *platform evangelism* is a constant balancing act of motivating creativity while strictly policing the boundaries of the brand's identity.

4.2.3 Platform Co-selling: Integrating Market Validation and Sales

Platform co-selling explores how LEGO Ideas establishes sales mechanisms and collaborates with users to generate revenue. This capability highlights how to navigate the commercial collaboration with its fan base.

Through the *sensing* capability, LEGO Ideas utilizes the community for massive crowd-validation. The requirement of 10,000 votes allows the company to sense whether a unique design has a broad market appeal before committing resources to development. Furthermore, the platform asks voting users to state the price they are willing to pay, enabling TLG to accurately evaluate a design's commercial potential (Antorini & Muñiz, 2013). These insights eliminate the initial, costly steps of market research and reduce the risk of launching products that miss customer needs (Andersen & Ross, 2016; Antorini & Muñiz, 2013; Schlagwein & Bjorn-Andersen, 2014).

If a design is selected, the creator receives 1% of total net sales and 10 copies of the set (Rules Guidelines | LEGO® Ideas, n.d.). In exchange, TLG seizes the full IP rights to the design and commercialization (Terms of Service | LEGO® Ideas, n.d.). This centralization is strategic, as users typically lack knowledge of marketing dynamics and commercialization (Antorini & Muñiz, 2013). Prohibiting users from advertising and selling their designs independently may seem like a steep limitation, but it ensures a coherent global marketing strategy and prevents potential legal complications.

The *transforming* aspect is visible in the shift from a *push* to a *pull* business model. Leveraging user creativity requires an effective Product Lifecycle Management system, which TLG has developed to bring these co-created products to market rapidly and react to emerging trends (Andersen & Ross, 2016). While the 1% royalty has been debated as potentially undervaluing the design effort (Farahmand et al., 2024), reactions from community forums suggest that many fans view the amount as fair (GroceryFun3203, 2023). Ultimately, the rising number of users indicates that the platform successfully transforms passion into participation, with the financial reward serving as a secondary, rather than primary, incentive (Antorini & Muñiz, 2013; Courtney, n.d.).

5.0 Discussion

5.1 Wessel versus Vial: Reframing Transformation through Digital Maturity

In their 2020 article, Wessel et al. argue that previous literature on IT-enabled Organizational Transformation (ITOT) and DT lacks a distinction between the two definitions, criticizing, among others, Vial's text from 2019 for conceptualizing DT in almost the same way as ITOT (Wessel et al., 2020). Basically, calling for a more fundamental revisiting of the classic transformation models to describe the distinction between ITOT and DT, stating that the solution is not to merge the two concepts. Wessel et al. (2020) define the key indicator between DT and ITOT, at an organizational level, as being how the processes of digital technology, value proposition, and organizational identity interrelate.

Vial (2019) argues that the scale, scope, and speed associated with the DT phenomenon call for research to consider DT as an evolution of the IT-enabled transformation phenomenon. Vial's building blocks showcase how TLG's organizational approach of utilizing digital

technologies to adapt to disruptions “to gain or maintain their competitive advantage” also changes the organization (Vial, 2019, p. 133). TLG changes the organizational approach to ITOT or DT as the *dynamic capabilities* are a part of the organization by the previously mentioned *sensing*, *seizing*, and *transforming* (Vial 2019). This organizational structure requires what Vial (2019) calls *digital maturity*, defined by Kane et al. (2017, p. 5–6) as:

“Digital maturity is about adapting the organization to compete effectively in an increasingly digital environment. Maturity goes far beyond simply implementing new technology by aligning the company’s strategy, workforce, culture, technology, and structure to meet the digital expectations of customers, employees, and partners. Digital maturity is, therefore, a continuous and ongoing process of adaptation to a changing digital landscape.”

Achieved *digital maturity* is by default embedded in the company culture, strategy, workforce, and technology, becoming part of the entire organization, or as Bruskin formulates it: “organizational changes drift away (...) by slipping into the everyday practices of the organization” (Bruskin, 2020, p. 605). We see that in how TLG went from hiring a CDO, Jean-Jacques Van Oosten, in a temporary position for a platform acquisition to then inserting CDTO Atul Bhardwaj in a more permanent role and tripling the size of the company’s technology department, showing how the organization has learned from the process and achieved a higher level of *digital maturity*.

Kane et al.’s (2017) definition of digital maturity challenges Wessel et al. (2020) binary and Vial (2019) linear conceptualizations of DT and ITOT. Kane et al.’s (2017) emphasis on ongoing adaptation suggests that digital transformation is iterative, with organizations repeatedly revisiting and adapting digital capabilities as part of a continuous process of digital maturity.

When the continuous process of the building blocks, adapting to disruptions, and changing the organization accordingly slips into the everyday practices of the organization, also on the strategic level, it becomes a circular development process. It becomes the new normal, and then new technology enables new development or supports new adaptations to disruptions or value capture, continuing the process of evolving the organization’s digital capabilities once again. LEGO Ideas is a great example of how a platform is not just a platform, but a representation of the organisation behind it. Former CEO Jørgen Vig Knudstorp previously described how TLG has become as much an IT-driven company as it is a brand-driven company (Andersen & Ross, 2016). This works as an example of how the organization, on a

managerial level, changes its strategy as part of digital maturity. It is here that the literature on the subject is limited to case-by-case examples of showing either Wessel et al. (2020) 's thesis of ITOT and DT being two different concepts or labels of transition, and Vial's (2019) linear process falls short.

Since the Agile manifesto was introduced in 2001 by the Agile Alliance (Agile Alliance, n.d.), we might start looking at ITOT and DT in the same way. Why should the transformation process not be considered iterative as well? Henrik Weis Aalbæk, Vice President, Corporate Finance (now ERP Transformation Lead at TLG), explains: “you have to understand that we have just begun; we are not done. It is a journey” on the leadership challenge to navigate the company's next transformation (Andersen & Ross, 2016, p. 11), highlighting its continuous nature.

5.2 A Platformization of Outsourced Work?

Utilizing platforms and user innovations to *sense* and *seize* can be very valuable; however, it is not unproblematic. Schreieck (2021) describes how one needs to balance *value creation* and *value capture* to align incentives and attract designers. At LEGO Ideas, less than 1% of idea submissions are commercialized, and the creator only receives 1% of the net sales of those (Beretta et al., 2023, p. 2). The remaining percentages do not benefit the designers in any monetary way; instead, they are turned into revenue and valuable data for the company. This perceived imbalance “may undervalue the effort put into designing sets” (Farahmand et al., 2024, p. 20), also because creators are prohibited from selling their designs after submitting to LEGO Ideas. This might explain the rise of webshops such as Rebrickable, BrickerBuilds, and The Atomic Brick that let creators sell custom building instructions independent of TLG. Finally, in a broader context, Srnicek (2017) criticizes platforms for being a new face of capitalism with concentrating ownership and control. TLG clearly emphasises empowerment, involvement, creativity, etc., but from a critical perspective, LEGO Ideas is a gamified platform to control, harvest, and monetize designers' time and creativity.

Another point of critique is regarding *transformation*. When a company develops a platform and integrates an open innovation pipeline into its processes, employees might resist. Beretta et al. (2023, p. 5) write that “Further, working with consumers can challenge internal product

developers' professional identities. They might have to redefine what they think of as their roles.” According to Sawy et al. (2015), TLG has a heterogeneous workforce where not everyone can be at the same level of digitalization readiness, nor ready for a digitalization culture which “requires adaptability, resilience, and an appetite for speed” (p. 35). Recurrent DTs might dissatisfy some employees.

5.3 Limitations of the Case

The method of this paper comes with limitations. Firstly, data was mainly collected through desk research. Though we guided/grounded and fact-checked our paper with the group member employed at the LEGO Copenhagen Digital Hub, our insights into the actual practices, experiences, and feelings of employees are limited. Interviews with employees might paint a different picture than the seemingly successful DT of LEGO Ideas. Parts of our reasoning, therefore, rely on presumptions. Secondly, using secondary sources reduces our control over errors, biases, and data quality. Future research could therefore include in-depth interviews with LEGO employees as well as with users of the LEGO Ideas.

6.0 Conclusion

This paper is grounded in Vial’s call for research into how design mechanisms enable repeatable, continuous adaptation to ever-emerging disruptions. Through desk research on digital initiatives and the LEGO Ideas case, we investigated “How does the LEGO Group utilize platforms like LEGO Ideas to develop dynamic capabilities for sensing, seizing, and transforming for continuous digital transformation?” For *sensing*, we found that TLG extensively collects platform data and *seizes* upon this data by integrating this open innovation pipeline into its processes. For *transforming*, we propose that TLG has achieved *digital maturity*, which expands across strategy, marketing, culture, legal, collaboration, networks, and processes. TLG seems to approach DT as an inevitable part of reality. Finally, we propose that DT is not binary to ITOT nor is it an evolution of ITOT. Instead, ITOT and DT are iterative processes that happen constantly, simultaneously, and interchangeably.

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